

Know Your Customer and Customer Due Diligence - Standard Operating Procedure

Onboarding, identity verification, beneficial ownership, risk scoring and periodic review

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Modelled on public sources	FATF Recommendation 10, EU CDD requirements and common industry practice
Classification	SYNTHETIC - HACKATHON TRAINING DATA

This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (FATF Recommendation 10, EU CDD requirements and common industry practice) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Customer risk score

Every customer receives a composite score from 0 to 100. The score is recalculated on onboarding, at each periodic review, and on any triggering event such as a change of beneficial owner, a new high-risk corridor, or an unresolved alert.

Component	Weight	Scoring notes	
Country of residence / incorporation	25%	Uses the jurisdiction risk matrix; rating 4 forces a minimum overall band of HIGH	
Counterparty geography (origin and destination)	20%	Rolling 12-month weighted share of high-risk corridors	
Industry / activity code	15%	Cash-intensive, money service, precious metals, gaming and crypto score above 70	
Product and channel	15%	Non face-to-face, correspondent, private banking score above 60	
Ownership transparency	15%	Layers, nominees, bearer instruments, unverifiable UBO	
Behaviour and adverse media	10%	Alert history, confirmed reports, credible negative news	

Band	Score	Review cycle	Approval level
LOW	0-39	60 months	Automated
MEDIUM	40-64	24 months	Team leader
HIGH	65-84	12 months	Compliance officer
UNACCEPTABLE	85-100	Not onboarded / exit	Financial crime committee

2. Identity verification standards

- Natural persons: full name, date and place of birth, nationality, residential address, national identifier. Verified against a government-issued photographic document with a liveness-checked selfie, or a qualified electronic identification scheme.
- Legal persons: legal name, legal form, registration number, registered office, principal place of business, directors, and the ownership chain to natural persons.
- Documents older than 3 months for proof of address, or expired identity documents, are rejected automatically.
- Name screening against sanctions, PEP and adverse media lists occurs before account activation and daily thereafter.

3. Beneficial ownership determination

The ownership chain shall be walked until natural persons are identified. Where no natural person is identified through ownership, control by other means is assessed; only if this also fails may the senior managing official be recorded, and the reason must be documented.

- Ownership threshold: 25% plus one share, or 10% where the customer is rated HIGH.
- Structures spanning three or more jurisdictions require a written rationale from the relationship manager.
- Registry data must be corroborated by at least one independent source when the registry does not verify content.

4. Source of funds and source of wealth

Situation	Evidence required
Salary income	Three most recent payslips or employer confirmation, plus matching credit pattern
Business proceeds	Audited or filed accounts, sample invoices, tax filing reference
Sale of property or shares	Notarial deed or broker statement identifying the counterparty
Inheritance or gift	Probate document or deed of gift, plus donor identification for amounts above 50,000 EUR
Crypto-asset realisation	Exchange statement showing the on-ramp, wallet attribution and blockchain analytics rating
Inbound family remittance	Sender identification, declared relationship, and consistency with the sender's country remittance corridor profile
Export proceeds	Export declaration or bill of lading, and evidence of repatriation within the period required by the exporter's jurisdiction
Sale of diamonds, gemstones or precious metals	Dealer invoice, certificate or grading report, and evidence of physical movement or vaulting

4.1 Country-specific documentary overlays

Where the customer is resident in, or transacts with, a jurisdiction listed below, the additional evidence in the right column is mandatory before releasing a held payment. The overlay supplements, and never replaces, the general evidence table above.

Jurisdiction	Additional evidence
Spain (ES)	Confirmation that any cash component respects the domestic cash payment limit
United States (US)	Aggregation check across branches for currency activity in the preceding 15 days
United Arab Emirates (AE)	Free zone licence and declared commodity scope where trade payments are involved
Israel (IL)	Where the activity involves diamonds, gemstones or precious stones, the dealer registration reference and the transaction record required of that sector; for non-profit counterparties, evidence of registered status and programme
Bangladesh (BD)	For export-related credits, the export form reference and repatriation evidence; for remittance credits, the licensed channel used and the sender relationship; mobile financial services wallet activity must be reconciled to the registered wallet holder
Belgium (BE)	Confirmation that the domestic cash payment ceiling is respected and that no part of a real estate settlement is in cash; for diamond sector counterparties, the trade registration reference and the parcel or grading record
China (CN)	For outbound transfers by individuals, evidence that the annual foreign exchange facility is not being circumvented through related parties; for trade payments, customs declaration number reconciled to the invoice and the licensed business scope of the counterparty
Panama (PA)	Beneficial ownership confirmation from the resident agent, dated within 90 days

5. Alert handling workflow

- L1 triage within 2 business days: deduplicate, gather profile and transaction context, close as false positive with a documented rationale or escalate.
- L2 investigation within 10 business days: build the counterparty network, evaluate typology fit, request customer information where permissible without tipping off.
- L3 decision within 20 business days: file a report to the financial intelligence unit, apply account restrictions, or close with rationale.
- All decisions retain the evidence pack, the model features that triggered the alert, and the analyst identity, for five years.